

stock-equity coverage well above our minimum ratios.) Nor shall we propose the opposite rule for bear markets, particularly because by diligent search it will always be possible to find some investments that meet all the normal tests even under depressed conditions.⁵

**SUMMARY OF MINIMUM QUANTITATIVE REQUIREMENTS
SUGGESTED FOR FIXED-VALUE INVESTMENT**

- 1. Size of obligor:
 - Municipalities: population 10,000
 - Public utilities: gross revenues \$2,000,000
 - Railroads: gross revenues 3,000,000
 - Industrials: gross revenues 5,000,000
- 2. Interest coverage:
 - Public-utility bonds: (7-year average) 1³/₄ times
 - Railroad bonds: (7-year average) 2 times
 - Industrial bonds: (7-year average) 3 times
 - Real estate bonds: (dependable estimate) 2 times
- 3. Value of property:
 - Real estate bonds: Fair value of property (based on actual sales in a noninflated market) must be 50% more than the amount of the bond issue.
 - Investment trust bonds: Similar ratio, using market value of assets.
- 4. Market value of the stock issues:
 - Public utilities 50% of the bonded debt
 - Railroads 66²/₃% of the bonded debt
 - Industrials 100% of the bonded debt

⁵ *For example:* In September 1932 General Baking 5¹/₂s could have been bought to yield 6%. Their average earnings coverage was twenty times interest charges; in the first half of 1932 interest was covered fourteen times. The stock-value ratio was 6 to 1.